

UNIVERSITY OF SOUTH CAROLINA
Nongovernmental Discretely Presented Component Units
Statements of Financial Position
June 30, 2024

	USC Development Foundation	USC Educational Foundation	USC Business Partnership Foundation	Total
ASSETS				
Cash and cash equivalents	\$ 15,023,343	\$ 6,057,290	\$ 4,761,082	\$ 25,841,715
Investments	37,550,125	665,834,788	153,375,097	856,760,010
Real estate held for investment	44,761,762	-	-	44,761,762
Assets held by others	40,000	6,358,036	-	6,398,036
Accounts receivable, net	786,662	12,540,926	966,832	14,294,420
Contributions receivable, net	437,152	40,831,765	141,347	41,410,264
Prepaid expenses	10,006	62,146	31,270	103,422
Other assets	1,989,219	251	95,959	2,085,429
Fixed assets, net	250,420,552	5,716	-	250,426,268
Total assets	\$ 351,018,821	\$ 731,690,918	\$ 159,371,587	\$ 1,242,081,326
LIABILITIES				
Accounts payable and accrued expenses	\$ 27,988,455	\$ 4,308,392	\$ 1,661,139	\$ 33,957,986
Lines of credit	9,808,202	-	-	9,808,202
Advances from others	6,416,763	-	-	6,416,763
Bonds, notes, and other payable	242,802,885	10,350,992	-	253,153,877
Other liabilities	403,288	13,203,131	-	13,606,419
Total liabilities	287,419,593	27,862,515	1,661,139	316,943,247
NET ASSETS				
Without donor restrictions	52,883,861	119,075,818	77,825,305	249,784,984
With donor restrictions	10,715,367	584,752,585	79,885,143	675,353,095
Total net assets	63,599,228	703,828,403	157,710,448	925,138,079
Total liabilities and net assets	\$ 351,018,821	\$ 731,690,918	\$ 159,371,587	\$ 1,242,081,326

See Notes to the Financial Statements

UNIVERSITY OF SOUTH CAROLINA
Nongovernmental Discretely Presented Component Units
Statements of Activities
For the year ended June 30, 2024

	USC Development Foundation	USC Educational Foundation	USC Business Partnership Foundation	Total
CHANGES IN NET ASSETS WITHOUT DONOR RESTRICTIONS				
Revenues, gains and other support				
Contributions	\$ 782,164	\$ 29,022,901	\$ 2,958,121	\$ 32,763,186
Investment returns (losses)	3,008,326	2,741,802	10,232,973	15,983,101
Net realized and unrealized gains (losses)	-	21,366,920	-	21,366,920
Earned income	18,840,964	-	4,138,471	22,979,435
Other	1,617,788	1,439,583	-	3,057,371
Net assets released from restrictions:				
Transfers	-	-	924,075	924,075
Satisfaction of program restrictions	1,965	107,587	3,601,627	3,711,179
Expiration of time restrictions	-	20,026,250	-	20,026,250
Total revenues, gains and other support	24,251,207	74,705,043	21,855,267	120,811,517
Expenses				
Scholarships and student assistance	-	19,075,723	3,431,505	22,507,228
Program services	26,279,936	47,242,005	9,222,128	82,744,069
Supporting services	907,547	6,207,889	946,252	8,061,688
Total expenses	27,187,483	72,525,617	13,599,885	113,312,985
Excess revenues over (under) expenses	(2,936,276)	2,179,426	8,255,382	7,498,532
Interest rate swap fair value adjustment	7,233,681	-	-	7,233,681
Change in net assets without donor restrictions	\$ 4,297,405	\$ 2,179,426	\$ 8,255,382	\$ 14,732,213
CHANGES IN NET ASSETS WITH DONOR RESTRICTIONS				
Contributions	\$ (131,552)	\$ 25,237,556	\$ 2,924,304	\$ 28,030,308
Investment returns (losses)	82,370	6,242,687	9,644,195	15,969,252
Net realized and unrealized gains (losses)	-	51,890,279	-	51,890,279
Other	-	322,559	-	322,559
Net assets released from restrictions:				
Transfers	-	-	(924,075)	(924,075)
Satisfaction of program restrictions	(1,965)	(107,587)	(3,601,627)	(3,711,179)
Expiration of time restrictions	-	(20,026,250)	-	(20,026,250)
Change in net assets with donor restrictions	(51,147)	63,559,244	8,042,797	71,550,894
Change in net assets	4,246,258	65,738,670	16,298,179	86,283,107
NET ASSETS, BEGINNING OF YEAR	59,352,970	638,089,733	141,412,269	838,854,972
NET ASSETS, END OF YEAR	\$ 63,599,228	\$ 703,828,403	\$ 157,710,448	\$ 925,138,079

See Notes to the Financial Statements

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Nature of Operations - The University of South Carolina (the University) is a State-supported, coeducational institution of higher education. The University's primary purpose is to provide undergraduate, graduate, and professional education to students and conduct research and other activities that advance fundamental knowledge.

Reporting Entity - The financial reporting entity, as defined by Governmental Accounting Standards Board (GASB) Codification Section 2100, *Defining the Financial Reporting Entity*, consists of the primary government, organizations for which the primary government is financially accountable and other organizations for which the nature and significance of their relationship with the primary government are such that exclusion could cause the financial statements to be misleading or incomplete. GASB Codification Section 2600, *Reporting Entity and Component Unit Presentation and Disclosure*, provides criteria for determining whether certain organizations should be reported as component units based on the nature and significance of their relationship with a primary government and classifies reporting requirements for those organizations. The financial statements include the University as the primary government and other related entities as discretely presented component units based on the nature and significance of their relationship to the University. The University's discretely presented component units are discussed further in Note 11.

The University is composed of the Columbia campus, including the Columbia School of Medicine, the Greenville School of Medicine, and seven system campuses. The University is a component unit of the State of South Carolina (the State). As a discretely presented component unit of the State, the University is financially accountable to and fiscally dependent on the State. Its Board of Trustees is appointed by the Governor and/or is elected by the General Assembly of the State.

Financial Statements - The financial statement presentation for the University meets the requirements of GASB Codification Sections 2100-2900, *Financial Reporting*, and Co5, *Universities*. The financial statement presentation provides a comprehensive, entity-wide perspective of the University's net position, revenues, expenses and changes in net position and cash flows.

Use of Estimates - The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues, and expenses and affect disclosure of contingent assets and liabilities at the date of the financial statements. Significant estimates used include separation of accrued compensated absences between current and noncurrent and depreciation and amortization expense. Estimates are also used for the net OPEB and net pension liabilities as calculated by the South Carolina Public Employee Benefit Authority (PEBA). Actual results could differ from those estimates.

Basis of Accounting - For financial reporting purposes, the University is considered to be engaged only in business-type activities. Accordingly, the University's financial statements have been presented using the economic resources measurement focus and the accrual basis of accounting. Under the accrual basis, revenues are recognized when earned, and expenses are recorded when an obligation has been incurred. Student tuition and auxiliary enterprise fees are presented net of scholarships and fellowships applied to student accounts, while stipends and other payments made directly are presented as scholarship and fellowship expenses. All significant intra-agency transactions have been eliminated.

Cash and Cash Equivalents - For purposes of the statement of cash flows, the University considers all highly liquid investments with an original maturity of three months or less to be cash equivalents. The University participates in the State's internal cash management pool, administered by the State Treasurer. Because the cash management pool operates as a demand deposit account, amounts invested in the pool are classified as cash and cash equivalents. For credit risk information pertaining to the cash management pool, see the deposits disclosures in Note 2.

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

The State's internal cash management pool consists of a general deposit account and several special deposit accounts. The State records each fund's equity interest in the general deposit account; however, all earnings on that account are credited to the General Fund of the State. The University reports its deposits in the general deposit account at cost and its special deposit accounts at fair value. Interest earned, including interest income, by the University's special deposit accounts is posted at the end of each month based on the percentage of the University's accumulated daily income receivable to the total income receivable of the pool. Unrealized gains and losses are allocated at year end based on the percentage of ownership in the pool.

Investments - The University accounts for its investments at fair value in accordance with GASB Codification Section 150, *Investments*. Changes in unrealized gain (loss) on the carrying value of investments are reported as a component of investment or endowment income in the statement of revenues, expenses, and changes in net position.

Accounts Receivable - Accounts receivable consist of tuition and fee charges to students and auxiliary enterprise services provided to students, faculty, and staff. Accounts receivable also include amounts due from the Federal, State, and local governments, or private sources, in connection with reimbursement of allowable expenditures made pursuant to the University's grants and contracts. Student accounts receivable are recorded net of estimated uncollectible amounts. Receivables related to lessor agreements, public-private partnership arrangements, as well as State capital appropriations are also included in accounts receivable.

Inventories – Inventories for internal use are valued at cost. Inventories for resale are carried at the lower of cost or market.

Noncurrent Cash and Investments - Noncurrent cash and investments primarily consist of permanently endowed funds and federal student loan funds. These funds are externally restricted and are classified as restricted noncurrent assets in the statement of net position.

Prepaid Items - Expenditures for services paid for in the current or prior fiscal years and benefiting more than one accounting period are allocated among accounting periods. Amounts reported in this asset account consist primarily of maintenance, license, parking and service agreements, prepaid travel and participant cards, and deposits.

Capital Assets - Capital assets are recorded at cost at the date of acquisition. Donated capital assets, donated works of art, historical treasures and similar assets are recorded at acquisition value. The University follows capitalization guidelines established by the State. All land is capitalized, regardless of cost. Qualifying improvements that rest in or on the land itself are recorded as depreciable land improvements. Major additions and renovations and other improvements that add to the usable space, prepare existing buildings for new uses, or extend the useful life of an existing building are capitalized. The University capitalizes movable personal property and leased assets with a unit value in excess of \$5,000 and depreciable land improvements, buildings and improvements, and intangible assets costing in excess of \$100,000. Routine repairs and maintenance and library materials, except individual items costing in excess of \$5,000, are charged to operating expenses in the year in which the expense was incurred.

Depreciation and amortization is computed using the straight-line method over the estimated useful lives of the assets, generally 3 to 60 years for buildings and improvements and land improvements; 2 to 25 years for machinery, equipment, and vehicles; and 3 to 10 years for intangibles. A full month of depreciation or amortization is taken the month the asset is placed in service and no depreciation or amortization is taken in the month of disposition.

Leased assets are initially measured as the sum of the present value of expected payments over the term of the lease and are amortized in a systematic and rational manner over the shorter of the lease term or the useful life of the asset. Subscription-based information technology arrangements (SBITA) assets are initially measured as the present value of expected payments over the term of the subscription. The University capitalizes SBITAs with a value in excess of \$100,000. SBITA assets are amortized in a systematic and rational manner over the shorter of the subscription term or the useful life of the underlying IT assets.

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Leases and Subscription Arrangements – The University determines if an agreement is a lease or a subscription-based information technology arrangement at inception.

Lessee agreements are included in the statement of net position as capital assets (lease assets) and lease obligations. Lease assets represent the University's right to use an asset for the specified lease term. Lease assets and liabilities are recorded based on the present value of expected payments over the term of the leases. In accordance with University policy, payments on leases with a term of 12 months or less or leases with a present value of \$5,000 (for equipment leases) and \$100,000 (for property leases) or less are expensed as incurred. These leases are not included in assets or liabilities on the statement of net position.

Lessor agreements are included in the statement of net position as accounts receivable (lease receivables) and deferred inflows of resources. All lessor agreements are property leases. Leases receivable represent the University's claim to receive lease payments for the specified lease term and are recorded based on the present value of expected lease payments over the term of the leases. Interest revenue and deferred inflows of resources related to leases are recognized as revenue over the lease term. In accordance with University policy, payments received on leases with a term of 12 months or less or leases with a present value of \$100,000 or less are recognized as revenue as received. These leases are not included in accounts receivable or deferred inflows of resources on the statement of net position.

SBITAs are included in the statement of net position as capital assets and subscription obligations. SBITAs represent the University's right to use subscription-based information technology. SBITA assets are initially measured as the sum of the present value of payments expected to be made during the subscription term, payments associated with the SBITA contract made to the SBITA vendor at the commencement of the subscription term, when applicable, and capitalizable implementation costs, less any SBITA vendor incentives received from the SBITA vendor at the commencement of the SBITA term. In accordance with University policy, payments on SBITAs with a term of 12 months or less or with a present value of \$100,000 or less are expensed as incurred. These SBITAs are not included in assets or liabilities on the statement of net position.

Public-Private Partnership Arrangements (PPP) - a PPP is an arrangement in which the University (the transferor) contracts with an operator (a private entity) to provide public services by conveying control of the right to operate or use a nonfinancial asset, such as infrastructure or other capital assets (the underlying PPP asset), for a period of time in an exchange or exchange-like transaction. The University has PPP arrangements for catering, food services, and bookstore operations. In these arrangements the underlying assets (buildings) were existing assets of the University. Therefore, the University continues to recognize the underlying PPP assets and has also recognized a receivable and a deferred inflow of resources based on the present value of the payments expected to be received under the terms of the contracts.

Unearned Revenues and Deposits - Unearned revenues include amounts billed for tuition and fees and certain auxiliary activities (including, but not limited to, athletic ticket sales and parking revenues) prior to the end of the fiscal year but related to the subsequent accounting period. Unearned revenues also include amounts received from grant and contract sponsors that have not yet been earned.

Deposits represent dormitory room deposits, security deposits for possible room damage and key loss, and other miscellaneous deposits. Student deposits are recognized as revenue during the semester for which the fee is applicable and earned when the deposit is nonrefundable to the student.

Compensated Absences - Employee vacation pay expense is accrued at year-end for financial statement purposes. The liability and expense incurred are recorded at year-end as accrued compensated absences in the statement of net position, and as a component of compensation and benefit expense in the statement of revenues, expenses and changes in net position.

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Funds Due From Others and Funds Held for Others - Current balances in Funds Due from Others and Funds Held for Others represent custodial funds held by or owed to the University on a short-term basis (three months or less) for groups and organizations that account for activities in the University accounting system and whose cash is part of the cash held on deposit with the State.

Noncurrent Liabilities - Noncurrent liabilities include (1) principal amounts of bonds payable, notes payable, and leases payable with contractual maturities greater than one year; (2) estimated amounts for accrued compensated absences and other liabilities that will not be paid within the next fiscal year; and (3) net pension and net OPEB liabilities.

Deferred Outflows of Resources - The consumption of net assets that is applicable to future reporting periods. The University's deferred outflows of resources consist of (1) deferred loss on debt refunding – the defeasance of previously outstanding bonds resulted in deferred refunding losses. These deferred losses are recognized as a component of interest expense over the remaining life of the old debt or the life of the new debt, whichever is shorter; (2) net pension and net OPEB liabilities – increases in net pension and net OPEB liabilities that were not included in expenses. Also, employer contributions subsequent to the measurement date of the net pension and net OPEB liabilities are reported as deferred outflows of resources.

Deferred Inflows of Resources - The acquisition of net assets that is applicable to future reporting periods. The University's deferred inflows of resources consist of decreases in the net pension and net OPEB liabilities that were not included in expenses, deferred gain on debt refunding and deferred inflows related to leases and PPP arrangements.

Net Position - Components of the University's net position are classified as follows:

Net investment in capital assets: This represents the University's total investment in capital assets, net of outstanding debt obligations related to those capital assets. To the extent debt has been incurred but not yet expended for capital assets, such amounts are not included as a component of net investment in capital assets.

Restricted - nonexpendable: The restricted nonexpendable component of net position consists of endowment and similar type funds in which donors or other outside sources have stipulated, as a condition of the gift instrument, that the principal is to be maintained inviolate and in perpetuity and invested for the purpose of producing present and future income, which may either be expended or added to principal.

Restricted - expendable: The restricted expendable component of net position includes resources which the University is legally or contractually obligated to spend in accordance with restrictions imposed by external third parties.

Unrestricted: The unrestricted component of net position presents all resources not included in net investment in capital assets or restricted categories.

When an expense is incurred that can use both restricted and unrestricted resources the expense is first applied to restricted resources then to unrestricted resources.

Income Taxes - The University is a political subdivision of the State and, is therefore, generally exempt from federal and state income taxes under applicable federal and state statutes and regulations on related income. Certain activities of the University may be subject to taxation as unrelated business income.